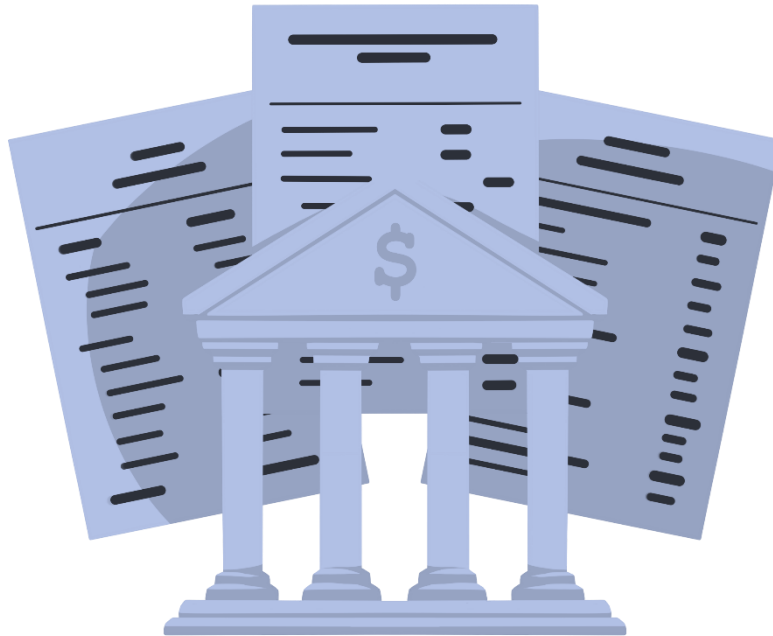


Accounting & Valuation Course



Lecture 1

The Three Financial Statements

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Table of Contents

The Three Financial Statements	3
Introduction	3
What is Accounting?	3
Cash vs Accrual Accounting?	3
Cash Accounting	3
Accrual Accounting	4
The Balance Sheet	5
The Accounting Equation	5
Assets	5
Current Assets	5
Fixed Assets	5
Financial Assets	5
Intangible Assets	6
Liabilities	6
Current (Near-Term) Liabilities	6
Non-Current (Long-Term) Liabilities	6
Shareholders' Equity	7
Building up the Balance Sheet	8
The Income Statement	8
Revenue	8
Expenses	10
Building up the Income Statement	12
Cashflow Statement	13
Cash Flows from Operations	13
Cash Flows from Investment	14
Cash Flows from Financing	14
Building up the Cash Flow Statement	15

The Three Financial Statements

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Introduction

The Accounting & Valuation course aims to give you an overview of the financial techniques and resources used when it comes to valuing a company. The first section of this course will cover the theory behind the three financial statements, looking into key concepts such as, the accounting equation and double entry book keeping to build up each statement individually.

What is Accounting?

Simply put, **accounting is the process of recording financial transactions**. For a business, this process involves summarising, analysing, and reporting these financial transactions to oversight agencies, regulators, and tax collection entities.

The process of accounting is done in the form of financial statements which provide a summary of financial transactions over an accounting period (usually a quarter or a year) and include information about the company's operations, financial positions, and cashflows. The financial statements created by accountants can be used by the company's managerial team to provide an idea of where a business is going and indicate areas where action is required. Typically, a business's accounting team needs to provide a quarterly report for the CFO to present to industry analysts. These analysts calculate the value and health of the company and make recommendations to brokerage firms who sell the company's stock. The accounting team also need to produce annual statements which investors, auditors, and financial regulation bodies (e.g., FCA in the UK), use to value, tax, and regulate the company.

Accounting can also be split into many different types: financial, managerial, cost, and tax. This course will only cover financial accounting as our goal is to learn how to use financial valuation techniques to analyse the health of a company.

Cash vs Accrual Accounting?

There two main methods of recording financial transactions: **cash accounting and accrual accounting**. In the section below we will explore the two methods and outline each method's advantages and disadvantages.

Cash Accounting

An accounting method where payment receipts are recorded during the period in which they are received, and expenses are recorded in the period in which they are actually paid.

The best way to understand this method is an example. Let's consider a coffee shop called QT Coffee, and Imperial College Investment Society places an order for 100 cookies on the 1st of January for an event being held on the 5th of February. The fact that Imperial College Investment Society placed the order for cookies a

month ago on the 1st of January is deemed irrelevant because the society did not pay for them until they were physically delivered on the 5th of February. Under cash accounting, this transaction will not be recorded until the cash is received on the 5th of February.

Similarly, under cash accounting, companies record expense when they pay for them. For example, let's assume we place an order for coffee beans on the 1st of January with an expected delivery and payment date of the 5th of February. The fact that we placed the order for the coffee on the 1st of January is irrelevant when it comes to cash accounting. The expense will only be recorded on the 5th of February. The company records the expense when they actually pay it, not when they incur the cost.

This form of accounting tends to be used to conduct personal accounting and track finances for small business due to its simplicity. It provides a clear picture of how much money the business has on hand. When transactions are recorded on a cash basis, they affect the company's books (financial statements) with a delay from when the transaction is completed. As a result, cash accounting is less accurate when compared to accrual accounting in the short term. A major drawback of cash accounting is that it may not provide an accurate picture of the liabilities that have been incurred but not yet paid for, so the business might appear to be better off than it really is. On the other hand, if the business has completed a large job (e.g. the cookie sale) but is still awaiting payment, the business may look less successful than it really is.

Accrual Accounting

A financial accounting method in which revenues and expenses are recorded when a transaction occurs rather than when the money is exchanged.

Accrual based accounting is based on two main principles: revenue recognition and matching principle. The revenue recognition states that: revenues must be recorded when earned and measurable. Related to this, the matching principle states that: costs associated with making a product must be recorded during the same period as the revenue generated from that product.

Using these two principles we can see that, unlike the cash method, the accrual method records revenue when a product or service is delivered to a customer, with the expectation that the money will be paid in the future. This means that money is accounted for before it is received. Likewise, expenses for goods and services are recorded before any cash is paid out.

If we take the same example as above, if Imperial College Investment Society places an order for 100 cookies on the 1st of January, regardless of when the order is set to be completed, this is recorded as a revenue as of the day the sale is complete (1st of January). Under the matching principle, the expense associated with this revenue generated for the 100 cookies (i.e. milk, flour etc) is recorded as an expense on the 1st of January.

Accrual accounting is more reflective of a business's current position, but its complexity makes it expensive to implement. The need for this method arose from the increasing complexity of business transactions and a desire for more accurate financial information. For an investor, accrual accounting allows for a snapshot of the company's current/ future revenue and expenses regardless of whether money has been exchanged. **This course will focus on accrual accounting as it is used by all corporations when reporting their financial statements.**

The Balance Sheet

The Accounting Equation

The accounting equation is as follows:

$$\text{Total Assets} = \text{Total Liabilities} + \text{Total Shareholders' Equity}$$

The principle that a company's total assets are equal to the sum of its liabilities and shareholders' equity is a relation considered as the foundation of double entry bookkeeping and ensures that the balance sheet remains *balanced*. In this section we will explore each component of the accounting section and understand why the equation must always balance.

Assets

A resource with economic value that an individual corporation or country owns or controls with the expectation that it will provide a future benefit.

An asset can produce a future benefit in two ways: either by increasing the company's future ability to generate cash inflows, or by decreasing future cash outflows. Assets can be classed as current, fixed, financial or intangible.

Current Assets

A current asset is a short-term economic resource that is expected to be converted or consumed **within one year**. Some examples of current assets include cash and cash equivalents. Cash is simply money in the form of a currency (e.g., coins, notes etc) whereas cash equivalents (e.g. marketable securities or treasury bills) involves an investments that can be readily converted into cash. This investment must be short term with a maximum investment duration of 3 months. If an investment matures in more than three months, it is classified in another account named 'other investments' as opposed to cash equivalents. Another example of a current asset is accounts receivable. Accounts receivable lists money owed to the company by its customers for the sale of its products. Inventory is also considered as a current asset.

Fixed Assets

A fixed asset, in contrast to a current asset, is a resource with an expected life **greater than one year**. The biggest component of fixed assets for a company is generally **Property, Plant, and Equipment** (PP&E). You will see PP&E listed on the balance sheet and tends to make up the largest portion of a company's assets. Examples of PP&E include buildings, machinery, land, office equipment, furniture, and vehicles. In most cases, there is a annual depreciation associated with fixed assets and we will cover how this is written as an expense in the following chapters.

Financial Assets

Financial assets represent investments in assets and securities of other institutions. This includes stocks, sovereign and corporate bonds, preferred equity etc. These are valued according to the underlying security and market supply and demand. The value can be subjective but financial assets do not tend to make up a large component of a company's overall assets.

Intangible Assets

An economic resource that has no physical presence is considered as an intangible asset. Patents, trademarks, copyrights, and goodwill all come under intangible assets. Goodwill is when a company acquires another company for a price greater than the fair market value of its assets, the additional payment attributable to the company's brand reputation and loyal customer base is included in the goodwill section of intangible assets. For firms heavy on research and development (R&D), such as pharmaceutical firms, tend to have very high value intangible assets.

Balance Sheet	Jan-23	Feb-23
Assets		
Cash	500	4645.5
Accounts Receivable	100	200
Inventory	100	150
Short-term investments	10	15
Total Current Assets	£ 710.00	£ 5,010.50
Long-term investments	50	60
Property, plant, and equipment	1000	1200
Intangible assets	10	15
Total Non-Current Assets	£ 1,060.00	£ 1,275.00
Deferred income tax	20	0
Other	0	10
Total Other Assets	£ 20.00	£ 10.00
Total Assets	£ 1,790.00	£ 6,295.50

If we take a look at the assets part of the balance sheet for QT Coffee, we can see where each type of asset slots into the balance sheet. Cash, accounts receivable, inventory and short term investments make up the current assets and long-term investments, PP&E, and intangible assets make up the total non-current assets. We also have a other assets such as deferred income tax which is simply an item which reduces the company's future taxable income. You will find a line for deferred income tax if a company overpays its taxes.

Liabilities

Something a person or company owes, usual a sum of money.

We will focus on liabilities associated with companies which can be split into current liabilities and non-current liabilities.

Current (Near-Term) Liabilities

A current liability is expected to be concluded in 12 months or less. Analysts want to see that a company can pay its current liabilities with cash. Examples of near-term liabilities include money owed to vendors, utilities, wages payable, interest payable, dividends payable etc.

Non-Current (Long-Term) Liabilities

Non-current liability can be defined as a liability that is not a current liability or a liability that last for a period of time greater than 12 months. The biggest part of non-current liabilities is generally money a company would have used to finance part of they long-term operations by either issuing bonds or taking on loans from financial institutions. Analysts want to see that a company can pay its long-term liabilities with assets derived from future earnings or financing transactions. Some other examples of non-current liabilities include expected warranty liability, post-employment benefits, contingent liability etc.

Before we move onto the final part of the accounting equation, it is important to clarify the difference between a liability and an expense as it is often confused. An expense is the cost of operations that a company incurs to generate revenue whereas liabilities are the obligations and debts a company owes. Unlike assets and liabilities, expense is related to revenue which are listed on a company's income statement. Expenses can be paid immediately with cash, or the payment could be delayed which would create a liability.

Balance Sheet	Jan-23	Feb-23
Liabilities		
Accounts payable	100	100
Short-term loans	10	15
Income taxes payable	10	8
Salaries and wages	300	400
Unearned revenue	40	50
Total Current Liabilities	£ 460.00	£ 573.00
Long-term debt	500	700
Other	100	300
Total Non-Current Liabilities	£ 600.00	£ 1,000.00
Total Liabilities	£ 1,060.00	£ 1,573.00

Like we did for assets, we will look at an example liabilities section of a balance sheet for QT Coffee. Like before, the total current assets and total non-current assets are listed separately and summed to get total liabilities. Current liabilities for QT Coffee consist of accounts payable (contracts which we have ordered but not yet paid for), short-term loans, income taxes payable, salaries and wages, unearned revenue (projects which we have received payment for but not completed). On the other hand, the main contributor to non-current liabilities of a business is its long-term debt.

Shareholders' Equity

The amount of money that would be returned to a company's shareholders if all of the assets were liquidated and all of the company's debt was paid off in the case of liquidation. It is also equal to assets minus liabilities.

Equity is issued to raise capital for a company which is then used to purchase assets, invest in projects, and fund operations. A firm can raise capital by either issuing debt (in the form of a loan or via bonds) or by selling equity (stocks). Equity represents the value of an investor's stake in a company and is represented by a proportion of its outstanding shares. Shareholder equity can either be positive or negative. If shareholder equity is positive, the company has enough assets to cover its liabilities but if shareholder equity is negative, the company's liabilities exceed its assets. If this is prolonged it is considered as balance sheet insolvency and is considered as a risky and unsafe position for a company to be in. Retained earnings, the sum of total earnings that were not paid to shareholders as dividends, are also part of shareholders' equity. Retained earnings represent a form of annual savings for the company as it is profit that has been put aside (retained) for future use.

The concept of equity has applications (e.g., private equity, home equity, etc) but in this course we are going to focus on the equity associated with a balance sheet.

Balance Sheet	Jan-23	Feb-23
Shareholders' Equity		
Common Stock: 1,000 shares out	500	1000
Retained earnings	200	3,722.50
Total Shareholder' Equity	£ 730.00	£ 4,722.50

Finally, if we take a look at the shareholders' equity section of the balance sheet for QT Coffee, where the common stock section is equal to the number of shares issued by a company, multiplied by its price. Retained

earnings is simply the earnings a company does not pay out as dividends. The total shareholders' equity plus liabilities is equal to its total assets.

Building up the Balance Sheet

The balance sheet is simply a representation of the accounting equation in a table format. As we have looked into each section of the balance sheet individually, all we need to do is combine each of the parts (assets, liabilities, and shareholders' equity) to arrive at the balance sheet for QT Coffee.

Balance Sheet	Jan-23	Feb-23
Assets		
Cash	500	4645.5
Accounts Receivable	100	200
Inventory	100	150
Short-term investments	10	15
Total Current Assets	710	5010.5
Long-term investments	50	60
Property, plant, and equipment	1000	1200
Intangible assets	10	15
Total Non-Current Assets	1060	1275
Deferred Income tax	20	0
Other	0	10
Total Other Assets	20	10
Total Assets	£ 1,790.00	£ 6,295.50
Liabilities		
Accounts payable	100	100
Short-term loans	10	15
Income taxes payable	10	8
Salaries and wages	300	400
Unearned revenue	40	50
Total Current Liabilities	460	573
Long-term debt	500	700
Other	100	300
Total Non-Current Liabilities	600	1000
Total Liabilities	£ 1,060.00	£ 1,573.00
Shareholders' Equity		
Common Stock: 1,000 shares outstanding	500	1000
Retained earnings	200	3,722.50
Total Shareholder' Equity	£ 730.00	£ 4,722.50

The balance sheet for QT Coffee, perfectly balances the accounting equation where total assets is equal to total liabilities plus shareholders' equity.

The Income Statement

Revenue

The money generated from normal business operations.

Revenue is also known as the top line because it appears first on the income statement. Depending on whether we use accrual or cash accounting the methods for calculating revenue changes. In this course our aim is to value large corporations so we will focus on the accrual method for calculating revenue. Accrual accounting will include sales made on credit as revenue for goods or services delivered to the customer. This means that the revenue will be recognised even if the physical payment has not yet been received.

Revenue tends to be subdivided on an income statement depending on the division that generated as well as whether the goods sold were tangible or intangible (goods vs services). A further distinction can be made between operating revenue, revenue from a company's core business, and non-operating revenue, revenue derived from secondary sources. Non-operating revenue is from sources which are unpredictable or non-recurring and referred to as one-time events or gains. Examples of non-operating revenue include, sale of assets, a windfall from investments, or money awarded through litigation.

To fully understand how revenue is broken up on an income statement we are going to take a look back at the revenue produced by QT Coffee.

Revenue	Jan-23	Feb-23
<u>Coffee</u>		
Units	1,000	2,000
£ per unit	£ 2.00	£ 2.00
Total Coffee Revenue	£2,000.00	£4,000.00
<u>Cookies</u>		
Units	500	1000
£ per unit	£ 1.00	£ 1.00
Total Cookie Revenue	£ 500.00	£1,000.00

At our coffee shop, we are going to assume we sell both coffee and cookies. From the revenue breakdown above, you can see that revenue for goods sold is fairly simple to calculate. We simply take the number of units sold and multiply it by the price per unit. This process is repeated for all the goods that a company might sell, coffee and cookies in this case, and the total revenue from goods sold can be calculated.

Revenue	Jan-23	Feb-23
<u>QT Coffee Subscription</u>		
Beginning of subscription	0	10
Plus: New subs added	10	30
Less: Churned subscriptions	0	-5.00
Ending subscriptions	10	35
Average of beg/end subs	5	22.5
£ per unit	£ 5.00	£ 5.00
Total Subscription Revenue	£ 25.00	£ 112.50
<u>QT Consulting</u>		
Hours billed	1	2
£ per hour	£ 20.00	£ 20.00
Total Consulting Revenue	£ 20.00	£ 40.00

If QT Coffee were to branch out and offer a subscription service, the calculation of total revenue becomes slightly more involved. We first take the number of subscriptions at the start of the month, add this to the number of new subscribers who joined during the month, and minus the number of subscribers who stopped their subscription service (churned subscriptions). This will give us our total number of subscribers at the end of the month from which the average can be calculated by dividing the sum of our beginning subscribers and ending subscribers by two. By then multiply this average number by the amount charged for the subscription, we arrive at our total subscription revenue for the month. Alongside this subscription service, QT Coffee decides to open up a consulting service as well. To calculate the revenue received from this division, we take the total number of hours billed and multiply it by the amount charged per hour.

Revenue	Jan-23	Feb-23
Coffee	2000	4000
Cookies	500	1000
Subscription	25	112.5
Consulting	20	40
Total Revenue	£ 2,545.00	£ 5,152.50

The total revenue can be calculated by adding up all sources of revenue. This is then what will be taken to the income statement to calculate net income.

Expenses

The cost of operations that a company incurs to generate revenue.

Since overall profit of a company is worked out by taking away expenses from revenue, managing expenses is a vital part of a company's success. Most company's will aim to minimise expenses to thus maximise profits but only up to a certain extent. For example, if we were to cut advertising expenses for one year, it may show increased profits in one month, but the effects of this may be felt the next month with a far lower customer growth. Therefore, a balance must be struck when it comes to cutting expenses in order to maximise profits. Like revenue, expenses can be recorded using cash or accrual accounting, and again we will focus on accrual accounting for this course. Expenses can be split up into two types: operating expenses and non-operating expenses. An operating expense is an expense related to the company's main activities (e.g. cost of goods sold, administrative fees, office supplies, rent, etc). Operating expenses are deducted from revenue to arrive at operating income – the amount of profit a company earns from its direct business. A non-operating expense, on the other hand, is an expense not directly related to the business's core operations. Examples of non-operating expenses include interest payments on debt, losses from investments and inventory write-downs. We will again use our favourite coffee shop, QT Coffee to illustrate how various expenses are written on an incomes statement.

Expenses	Jan-23	Feb-23
Coffee beans	200	210
Sugar	50	55
Cookie dough	70	72
Labour - coffee production	300	305
Labour - consulting services	15	16
Total Costs of Goods Sold	£ 635	£ 658

The first major part of the expense section is the breakdown of costs of goods sold. The aim of costs of goods sold is to capture any expenses directly tied to the deliver of a good or service. In the case of our coffee shop, the cost of coffee beans, sugar, cookie dough, coffee production labour, and consulting services labour, are costs directly tied to the deliver of coffee, cookies, and consulting services. Each of these costs are added up to get the total costs of goods sold.

Expenses	Jan-23	Feb-23
<u>Sales and marketing expenses</u>		
Sales labour	150	175
Marketing costs	50	55
Total sales & marketing expense	£ 200	£ 230
<u>General and admin expenses</u>		
G&A labour costs	200	215
Rent	40	45
Legal and accounting fees	20.00	25.00
Total G&A expenses	£ 260	£ 285
<u>Research and development costs</u>		
R&D labour costs	50	50
R&D materials costs	8	10
Total R&D costs	£ 58	£ 60
Depreciation and Amortization	£ 5	£ 5
Total Operating Expenses	£ 523	£ 580

Once we come down the income statement, we come to operating expenses which include sales & marketing, general and admin, research and development, and depreciation & amortization. All the labour costs associated with sales as well as marketing expenses (e.g. printing flyers, paying for google adverts etc) all come under sales and marketing expenses. Alongside this we have general and admin (G&A), which is the costs associated with the day to day running of the business. G&A includes rent, accountant salaries, and legal fees. We also have research and development costs. If QT Coffee decides to pump lots of money into perfecting the coffee taste, all the costs associated with this come under R&D costs.

The final expense here is depreciation and amortization. In order to understand depreciation and amortization we first need to understand the term capital expenditures. A company may spend money to acquire, upgrade, and maintain physical assets such as property, plant, and equipment. This expenditure is treated differently when compared to most other business expenses. While most other costs can be written off against business income the year they are incurred, capital expenditure cannot be written off in the same manner. If, for example, we bought a new coffee machine, the cost of the coffee machine is not something which is shown as an expense on the income statement. What actually happens, is your cash (asset) decreases but your property, plant, and equipment (asset) increase by the same amount. Each year as the value of this asset decreases (depreciation) you expense the annual depreciation amount as an expense. Capitalisation is this process of taking an expense and recognising it as an asset which must be depreciated over time. In the example above, we assume that the value of our coffee machine depreciates by £5 a month, hence only count this £5 as an expense and not the total amount of the coffee machine when it was bought. Amortization is the same concept as depreciation, but it relates to intangible assets. For example, if we were to file a patent for our coffee production technique, the initial cost of the patent will not be written as an expense, but the value the patent loses each month will be recorded as an expense.

Expenses	Jan-23	Feb-23
Interest expense £	8	8
Losses on sale of equipment £	12	12
Regulatory fees £	2	4
Income tax expense £	30	200

As well as operating expenses, you have non-operating expenses which are written further down the income statement. These expenses include any interest expense paid on loans, losses on sale of equipment, any regulatory fees a company may pay (e.g. health inspections) and income tax expense.

Building up the Income Statement

Now that we have looked over how to build up the revenue and expenses for a company, the income statement is simply a collation of these figures.

Income Statement	Jan-23	Feb-23
Coffee	2000	4000
Cookies	500	1000
Subscription	25	112.5
Consulting	20	40
Total Revenue	£2,545.00	£5,152.50
Coffee beans	200	210
Sugar	50	55
Cookie dough	70	72
Labour - coffee production	300	305
Labour - consulting services	15	16
Total Costs of Goods Sold	£ 635.00	£ 658.00
Gross Profit	£1,910.00	£4,494.50
<i>Gross profit margin %</i>	<i>75.0%</i>	<i>87.2%</i>

The first part of the income statement involves calculating the gross profit for a company.

$$\text{Gross Profit} = \text{Total Revenue} - \text{Total Costs of Goods Sold}$$

To calculate gross profit, we simply take away our total revenue, from the total costs of goods sold and arrive at our gross profit. Gross profit is the most direct tie to how much a company is making per unit. From this you can also calculate gross profit margin which is simply gross profit as a percentage of revenue.

Income Statement	Jan-23	Feb-23
Coffee	2000	4000
Cookies	500	1000
Subscription	25	112.5
Consulting	20	40
Total Revenue	£2,545.00	£5,152.50
Coffee beans	200	210
Sugar	50	55
Cookie dough	70	72
Labour - coffee production	300	305
Labour - consulting services	15	16
Total Costs of Goods Sold	£ 635.00	£ 658.00
Gross Profit	£1,910.00	£4,494.50
<i>Gross profit margin %</i>	<i>75.0%</i>	<i>87.2%</i>
Sales & marketing	200	230
G&A	200	230
R&D	58	60
Depreciation and Amortization	5	5
Total Operating Expense	463	525
Operating Income	£1,447.00	£3,969.50
<i>As % Revenue</i>	<i>56.9%</i>	<i>77.0%</i>
Interest expense	8	8
Losses on sale of equipment	12	12
Regulatory fees	2	4
Income before income taxes	£1,425.00	£3,945.50
Income tax expense	30	200
Net Income	£1,395.00	£3,745.50

The next step is to calculate operating income.

$$\text{Operating Income} = \text{Gross Profit} - \text{Operating Expense}$$

Operating income gives us an idea of how much money you are making from a business in a given period of time (in this case a month). Like gross profit you can calculate operating income as a percentage of revenue. Once we have arrived at operating income, we simply take away all other non-operating expenses to get Net Income. Income before tax tends to be calculated first before the income tax expense is deducted to get the final Net Income. Just like that, we have formed the income statement for our company!

Cashflow Statement

A financial statement that aggregates a company's cash inflows and outflows from operations, investing, and financing over a set period of time.

The cashflow statement follows the cash made by a business in three main ways: through operations, investment and financing. The sum of these three segments is called the net cash flow. In this section we will explore each of these three components and run through an example of our own cashflow statement.

Cash Flows from Operations

Cash Flow Statement		Feb-23
Net Income		3745.5
Depreciation & amortization		5
Receivables		-100
Accounts payable		0
Accrued expenses		10
Cash from operations		£3,660.50

The first section of the cashflow statement covers cash flows from the operating activities of the business. This section begins with net income (from the income statement). We take the net income and add back depreciation and amortization. Depreciation and amortization represent the decrease in value of an asset we have purchased already, i.e. we have already spend the cash when buying the asset. Hence this depreciation affects the value of the asset not the total amount of cash we have at hand. Although depreciation and amortization appears on our income statement as an expense, it does not actually affect the cash we have at hand. Receivables are revenues, we have acknowledged on our income statement but not yet received payment for, therefore if our total receivables have increased from January to February we must take the value of this away from our cash from operations. We do the same for accounts payable and accrued expenses as these payables and expenses we incurred because the transaction occurred in February but we have not physically transferred the cash from our account. Therefore, we need to add back accounts payable and accrued expenses to net income to arrive at our final cash from operations,

Cash Flows from Investment

Cash Flow Statement	Feb-23
Long-term investments	-10
Property, plant, and equipment	-200
Intangible assets	-5
Cash from Investments	-£ 215.00

Next, we have cash flows from investments. The second section of the cash flow statement is the impacts to a company's cash balance gains and losses from investments have. This section includes cash spend on PP&E, changes in capital expenditure, increases/ decreases in long term investments and intangible assets. As the value of long term assets, PP&E and intangible assets held by QT Coffee all increased from January to February we need to take the add up all of these cash outflows to arrive at our total cash from investments.

Cash Flows from Financing

Cash Flow Statement	Feb-23
Long-term debt	200
Raise equity	500
Cash from financiing activities	£ 700.00

The last section of the cash flow statement is cash flows from financing activities. This section provides an overview of cash used in business financing. It measure cash flow between a company and its owners and creditors , and its source is normally debt or equity. For the case of QT Coffee, the amount of long term debt increased and so did the amount of equity held in the company. This means that both these values have contributed to the overall cash available in the business from financing activities.

Building up the Cash Flow Statement

Cash Flow Statement	Feb-23
Net Income	3745.5
Depreciation & amortization	5
Receivables	-100
Accounts payable	0
Accrued expenses	10
Cash from operations	3660.5
Long-term investments	-10
Property, plant, and equipme	-200
Intangible assets	-5
Cash from Investments	-215
Long-term debt	200
Raise equity	500
Cash from financi	700
Net change in cash	4145.5
Opening cash balance	500
Ending Cash	4645.5

The final cash flow statement is simply each source of cash being added together to give us the net change in cash. In this case the net change in cash was equal to £4145.50. So from the start to end of February, the total cash available to QT Coffee has increased by this amount. To find the total cash available to the business we add the change in cash across the month to the cash available at the start of the month. This value is then what is used to represent the cash asset in the balance sheet.

There you have it, how to derive the three financial statements!